

ENGLISH FOR WORK / SEPTEMBER 2026

Finance English

Vocabulary & phrasebook

Keep precise meanings and useful expressions close. Retrieve the words, then use them in a complete message.

PRACTICE THAT TRANSFERS TO WORK

Read a realistic case. Find the right language. Speak, write, get feedback, and try again.

Eight lessons | Intermediate to advanced | Independent or classroom study

For accounting, FP&A, treasury, banking, investments, audit, risk, corporate finance, and finance-adjacent teams.

Fictional language practice. Legal, financial, and regulatory meanings depend on jurisdiction and context; use current documents and qualified review for actual decisions.

All scenarios, figures, and model responses are fictional teaching material. Use invented details in practice.

[Open this course on English Ladder](#)

Make vocabulary usable

Knowing a definition is a start. To use a term well, explain it in plain English, connect it to a case, and choose a natural sentence around it.

- Read five terms, cover their definitions, and recall the meanings.
- Sort a pair you might confuse and explain the difference.
- Use one term in a sentence about a fictional case.
- Ask a partner to explain the sentence without repeating the specialist word.
- Return to the same terms on another day and test recall again.

Abbreviations need context

Expand an abbreviation on first use when the listener needs it. Some abbreviations have different meanings across professions: API can refer to an application programming interface or an active pharmaceutical ingredient. The course context determines the meaning.

Definitions have limits

These are concise language-learning explanations, not complete legal, clinical, or technical specifications. Use the applicable authoritative definition for regulated or operational decisions.

Field vocabulary A-Z

Accretion/dilution

Whether a transaction increases or decreases a per-share metric, often EPS.

Accrual

An accounting estimate recorded before cash payment or receipt occurs.

AML

Anti-money laundering controls for detecting and preventing illicit financial activity.

Attribution

Analysis explaining sources of portfolio return or relative performance.

Benchmark

Reference index or target used to evaluate performance.

Bridge

Step-by-step explanation from one financial number to another.

Budget

Approved financial plan for a period.

Cash runway

How long available cash is expected to last at current or projected burn.

Collateral

Assets pledged to support repayment or reduce loss severity.

Concentration risk

Exposure to a borrower, sector, geography, customer, or asset type that is too large or correlated.

Control deficiency

A control design or operating issue that may allow errors or misstatements.

Covenant

A requirement in a financing agreement, often tied to leverage, coverage, or reporting.

Credit risk

Risk that a borrower or counterparty does not meet obligations.

DCF

Discounted cash flow valuation based on projected cash flows and discount rate.

Deferred revenue

Cash received before revenue is recognized.

DPO

Days payable outstanding; a measure of payment timing to suppliers.

DSCR

Debt service coverage ratio; cash flow relative to required debt payments.

DSO

Days sales outstanding; a measure of collection speed for receivables.

Duration

Measure of a bond's sensitivity to interest-rate changes.

EBITDA

Earnings before interest, taxes, depreciation, and amortization; often adjusted but not a cash-flow substitute.

Enterprise value

Value of the operating business, often before deducting net debt.

Equity value

Value attributable to shareholders after net debt and other adjustments.

Escalate

Raise an issue to a higher authority because risk, materiality, or timing requires it.

Forecast

Updated estimate of future performance based on current information.

Free cash flow

Cash generated after operating needs and capital expenditures, depending on definition used.

FX exposure

Potential financial impact from movements in foreign exchange rates.

Gross margin

Revenue minus cost of goods or services, often expressed as a percentage of revenue.

Guidance

Management's communicated expectation for future performance, usually externally sensitive.

Hedge

A transaction intended to reduce exposure to financial risk.

Impair

Reduce asset value when recoverability or fair value requires it.

Internal control

Process designed to provide reasonable assurance around reporting, operations, or compliance.

IRR

Internal rate of return; discount rate that sets NPV to zero.

KYC

Know your customer processes used in financial institutions and compliance programs.

Leverage

Use of debt relative to earnings, assets, or equity.

Liquidity

Ability to meet obligations when due without unacceptable loss or disruption.

Loss given default

Estimated loss severity if default occurs.

LTV

Loan-to-value ratio; loan amount relative to collateral value.

Material weakness

A serious control deficiency creating reasonable possibility of material misstatement.

Multiple

Valuation ratio such as EV/EBITDA or price/earnings.

Normalize

Adjust results to remove unusual or non-recurring effects.

NPV

Net present value; present value of benefits minus costs or investment.

Operating income

Profit from operations before items such as interest and taxes, depending on presentation.

Probability of default

Estimated likelihood that a borrower defaults.

Reconcile

Compare records, identify differences, and resolve them.

Reconciliation

Process of comparing records and resolving differences.

Reprice

Change pricing to reflect cost, risk, demand, or market conditions.

Reserve

Record an estimate for expected loss, liability, or adjustment.

Return

Gain or loss on an investment over a period, usually expressed as a percentage.

Revenue

Income from delivering goods or services, recognized under applicable accounting rules.

Revolver

A revolving credit facility that can be drawn and repaid within agreed limits.

Run rate

An annualized or forward-looking estimate based on recent performance, with limitations.

Scenario

A coherent case such as base, upside, downside, or stress case.

Segregation of duties

Dividing responsibilities to reduce error or fraud risk.

Sensitivity

Analysis showing how results change when an assumption changes.

SOX

Sarbanes-Oxley Act controls and reporting framework for many public companies.

Spread

Difference between yields or rates, often reflecting credit or liquidity risk.

Stress-test

Evaluate performance under adverse assumptions.

Variance

Difference between actual and comparison point such as budget, forecast, or prior period.

Volatility

Degree of price movement or variability over time.

WACC

Weighted average cost of capital; a common discount-rate input.

Working capital

Operational assets and liabilities such as receivables, inventory, and payables.

Yield

Income return on a bond or investment, expressed as a percentage.

Expressions for this course

Complete the frames with the facts of your case. A frame helps organize meaning; it should not replace an actual explanation.

Make a complex point clear

In this context, ... means

The difference is that

How would you explain that distinction to a colleague?

Start with the reader's question. Explain one unfamiliar term with familiar words, then give a relevant example or contrast. Check understanding without asking only 'Do you understand?'.

Ask a precise question

When you say ..., do you mean ...?

Could you clarify which ...?

So, my understanding is Is that right?

Name the exact word, fact, or requirement you need clarified. Ask one focused question at a time. Repeat your understanding and give the other person a chance to correct it.

Give a useful status update

We have completed ...; ... remains open.

As of ..., the status is

The next update will cover

Lead with the current state, then the important change or open item. Use completed-action language only for completed work. Add a next update point when it is known; do not invent a date to make the message sound complete.

Match certainty to evidence

The available evidence shows

This may indicate ..., but

We have not yet established whether

Say what the evidence shows, identify what is still unknown, and limit the conclusion to that evidence. Words such as 'may', 'suggests', and 'in this sample' are useful when the uncertainty is real. Do not soften an urgent, verified safety concern.

Explain a fair comparison

Both options ..., but

Option A ..., whereas option B

The comparison depends on

Use the same time period, scope, and measurement basis for both options. Explain a difference with 'whereas' or 'while'. State what improves and what is given up; do not hide the weaker side of a recommendation.

Ask for an actionable next step

Could you provide ... so that ...?

Please confirm ... by [agreed time].

If that timing is not possible, please let me know

State the action and the information needed. Explain why it matters and specify a deadline only when one is given or agreed. 'Could you' is polite; repeated apologies can obscure a legitimate request. Urgent situations may require a direct request.

Transfer information and responsibility

The current status is ...; the outstanding item is

The record shows

Please confirm who has accepted

State the current situation, relevant background, open task, and receiving role. Ask for acknowledgment or repeat-back of the critical item. Sending a message and transferring responsibility are not always the same thing.

Model responses in context

Read the situation first. Cover the model, say your own response, and compare the two for meaning and tone.

01 | Finance Communication: Drivers, Assumptions, Materiality, Risk

Revenue is 5% above budget, while operating profit is 2% below budget. A manager wants a one-sentence explanation for a review meeting.

Revenue exceeded budget, but higher operating costs more than offset the increase. I'll show the main cost drivers so the review explains why profit moved differently from revenue.

Try it again: Your listener is new to this field. Replace two specialist expressions with clear explanations without changing the meaning.

02 | Financial Statements, Close, and Accounting Judgments

An invoice covers services delivered in December but was paid in January. A colleague asks which month should appear in the close schedule.

Are we discussing the cash payment date or the accounting period for the expense? The payment was in January; the accounting treatment needs to follow our policy and the service details.

Try it again: The other person uses an ambiguous word such as 'ready', 'approved', or 'urgent'. Clarify it before continuing.

03 | FP&A, Budgeting, Forecasting, and Variance Analysis

The forecast shows \$120,000 of spending against a \$100,000 budget. A new supplier fee accounts for \$15,000; the remaining \$5,000 is under review.

Spending is forecast to be \$20,000 above budget. The supplier fee explains \$15,000 of that variance. We are still reviewing the remaining \$5,000 and will update the bridge tomorrow.

Try it again: The listener asks you to reduce the update to two sentences. Preserve the most important completed and pending items.

04 | Treasury, Cash, Liquidity, Working Capital, and FX

A cash forecast assumes a large customer pays on Friday. The customer has not confirmed payment. A manager asks if the cash balance is guaranteed.

The forecast assumes payment on Friday; that date is not confirmed. I'll show the balance both with and without the receipt so the team can see the liquidity exposure.

Try it again: Someone asks for a yes-or-no answer when the evidence supports only a qualified answer. Be concise while preserving the uncertainty.

05 | Markets, Investments, Performance, and Client Communication

A portfolio return is 6% before fees. Its benchmark returned 5% over the same stated period. A slide does not identify fee treatment.

The figures suggest a one-percentage-point difference before fees. We should label fee treatment and confirm the comparison basis before describing the performance to a client.

Try it again: Your listener focuses only on the lowest price or fastest date. Explain one other relevant comparison criterion.

06 | Banking, Credit, Lending, and Counterparty Risk

A credit file is missing an updated financial statement. The review team needs it for a scheduled meeting on Thursday.

Could you send the latest approved financial statements through the secure channel by Wednesday? Please confirm the reporting period, or let us know when the documents will be available.

Try it again: The other person cannot meet the requested timing. Clarify an alternative without inventing authority to change a formal deadline.

07 | Controls, Audit, Compliance, Fraud, and Ethics

A reconciliation has three unmatched entries. Their cause is unknown. The preparer is handing the work to a reviewer at the end of the day.

Three entries remain unmatched. I've listed their references and the checks already completed. Please review the supporting records and record the resolution; the cause is still unconfirmed.

Try it again: The intended recipient cannot take ownership. Keep the status clear and identify the need for an authorized reassignment.

08 | Valuation, M&A, Capital Allocation, and Executive Finance

A valuation model changes materially when the growth assumption moves from 2% to 4%. The presentation shows only the higher estimate.

The valuation is sensitive to the growth assumption. I'll present both scenarios and explain the assumptions behind them. The higher figure is a modeled outcome, not an assured transaction value.

Try it again: Someone asks for a yes-or-no answer when the evidence supports only a qualified answer. Be concise while preserving the uncertainty.

Use the language responsibly

Fictional language practice. Legal, financial, and regulatory meanings depend on jurisdiction and context; use current documents and qualified review for actual decisions.

Meaning before performance

Use specialist terms only when they help the listener. Explain unfamiliar words, preserve uncertainty, and ask when an instruction or responsibility is unclear. The model responses illustrate language; they do not authorize professional actions.

Sources and further reading

The cases, workshops, and explanations are original teaching material. These references provide language frameworks and selected professional context. References were checked in September 2026; consult current local guidance for actual work.

Digital.gov: plain-language guidance

<https://digital.gov/guides/plain-language>

Council of Europe: CEFR descriptors

<https://www.coe.int/en/web/common-european-framework-reference-languages/cefr-descriptors>

Investor.gov: investing glossary

<https://www.investor.gov/introduction-investing/investing-basics/glossary>

Your next step

Choose one expression you can use in a genuine work situation. Rehearse it with fictional details, then adapt the wording to your role and audience.